

		not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Cal. Civ. Proc. Code § 436. “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not support by the allegations of the complaint. Cal. Civ. Proc. Code § 431.10 (b). Given the court’s ruling on the demurrer, the court rules on Defendants’ motion to strike as follows: • Allegations referring to punitive damages: DENIED. The court found that Plaintiff’s allegations were sufficient to allege fraud for which punitive damages are available as relief. • Allegations referring to attorneys’ fees: GRANTED as to ¶ 119 with leave to amend. Plaintiff contends that it is entitled to attorneys’ fees under the unfair competition statute. However, in ¶ 119, Plaintiff seeks attorneys’ fees for a different cause of action (not Plaintiff’s unfair competition claim). The motion is DENIED as to ¶ 5 and Prayer for Relief, ¶ 5, which generally alleges that Plaintiff is entitled to attorneys’ fees where available (e.g., for an unfair competition cause of action.) The court cannot determine the merits of whether or not, at this time, Plaintiff’s claim is sufficient to warrant attorneys’ fees under the private attorney general statute, which depends on the outcome of Plaintiff’s case—i.e., whether Plaintiff’s case focuses more on recovering for a personal, specific injury or one that affects change to others. However, at this time, the court cannot determine that, as a matter of law, Plaintiff may or may not be entitled to attorneys’ fees. • Exhibit A: The motion is DENIED. Exhibit A is relevant and provides the evidentiary basis for Plaintiff’s claims. Moving party to give notice.
2	Kia vs. Tabatabai	1. <u>Demurrer to First Amended Complaint</u> 2. <u>Motion to Strike Complaint</u> 3. <u>Status Conference</u> TENTATIVE RULING: Defendants Mohammad Tabatabai, Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc. demur to the first through seventh causes of action of Plaintiffs Mike Kia aka Fariborz Wosoughkia and MRMK, LLC’s First Amended Complaint (“FAC”). For the

following reasons, the demurrer to the first, second, third, fourth, fifth causes of action are **SUSTAINED**. The demurrer to the sixth cause of action for unjust enrichment is **OVERRULED** as to Defendant Tabatabai and **SUSTAINED** as to the other Defendants. The demurrer to the seventh cause of action is **SUSTAINED** to the extent it seeks declaratory relief, and **OVERRULED** to the extent it seeks an accounting.

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

Although courts should take a liberal view of inartfully drawn complaints, (see Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought, (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413). Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).)

First Cause of Action for Breach of Contract

The FAC alleges Plaintiffs Kia and MRMK entered into numerous oral and written contracts with Defendants to purchase shares of Peri, Inc. with the purpose of future proceeds generated by Peri, Inc. for the benefit of Kia and MRMK as well as consulting agreements, and attaches copies of the agreements as Exhibits 1-8. (FAC ¶ 34.)

“[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman*

(2011) 51 Cal.4th 811, 821.) “A contract is either express or implied.” (Civ. Code, § 1619.) The terms of an express contract are evidenced by words (Civ. Code, § 1620), while an implied contract is based on conduct (Civ. Code, § 1621). Moreover, the Court of Appeal has recognized, “If written or oral contracts ... exist, there [can] be no implied contracts.” (*Varni Bros. Corp. v. Wine World, Inc.* (1995) 35 Cal.App.4th 880, 889.)

Additionally, to state a claim for a breach of contract, “it is absolutely essential to plead the terms of the contract either [verbatim] or according to legal effect.” (*Twaite v. Allstate Insurance Co.* (1989) 216 Cal.App.3d 239, 252.) Here, Plaintiffs failed to allege the specific terms of the contract or contracts that Defendants are alleged to have breached. The FAC alleges multiple written contracts, as well as unspecified oral agreements. (FAC ¶ 34.) The court cannot deduce which terms of which contracts Defendants allegedly breached from the facts alleged. (*Bustamante v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 209 [a contract will be enforced if the court is able to ascertain the parties’ obligations and to determine whether those obligations have been performed or breached”].) The FAC fails to sufficiently allege the which parties were bound by each agreement, which terms were breached, and by whom.

Finally, it may be noted that “[i]t is elementary that a party asserting a claim must have standing to do so. In asserting a claim based upon a contract, this generally requires the party to be a signatory to the contract, or to be an intended third party beneficiary.” (*Berclain America Latina v. Baan Co.* (1999) 74 Cal.App.4th 401, 405.) Plaintiff Kia does not appear to have signed any agreements in his individual capacity.

The demurrer to the first cause of action is **SUSTAINED**.

Second Cause of Action for Breach of the Implied Covenant for Good Faith and Fair Dealing

The second cause of action for breach of the implied covenant of good faith and fair dealing alleges that Defendants’ failure to secure technology contracts for the benefit of Peri, Inc., its shareholders, and investors breached the implied covenant of good faith and fair dealing. (FAC ¶ 42.)

“The essential elements of a breach of contract claim are: ‘(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to plaintiff.’

” (*Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1614.) While the third element of a breach of contract cause of action is the defendant’s actual breach, a breach of the implied covenant of good faith and fair dealing cause of action requires proof the defendant unfairly interfered with plaintiff’s right to receive the benefits of the contract. The implied covenant is supplemental to the express contractual covenants. (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032.) It imposes upon each contracting party the duty to do everything the contract presupposes he or she will do to accomplish its purpose but cannot be used to create obligations not contemplated by the contract. (*Pasadena Live v. City of Pasadena* (2004) 114 Cal.App.4th 1089, 1093-1094.)

This cause of action presupposes a contract between the parties. The FAC fails to state facts sufficient to allege a contract between Plaintiffs and Defendants. Accordingly, the demurrer to the second cause of action is **SUSTAINED**.

Third Cause of Action for Fraud

The third cause of action for fraud alleges Defendants each made material representations that any funds invested in Peri, Inc. would be used for the furtherance of Peri, Inc. and the implicit goal of creating profits for shareholders. (FAC ¶ 45.) The FAC further alleges Defendants knowingly represented to Plaintiffs that the invested funds would be used towards the goal of securing contracts for Peri, Inc., and to generate profits for Peri, Inc. and its investors, and that Defendants knowingly intended to defraud Plaintiffs by using the invested funds for Defendants own personal gains. (*Id.* at ¶ 46.)

The elements of fraud by misrepresentation are: (1) a misrepresentation; (2) knowledge of its falsity; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance on the misrepresentation; and (5) resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Each element of an intentional misrepresentation cause of action must be pleaded with specificity. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166.) General and conclusory allegations do not suffice. (*Lazar*, 12 Cal.4th at 645.) The particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. (*Id.*)

The FAC fails to plead a fraud cause of action with the required specificity. The FAC does not allege the specific misrepresentations each Defendant made to each Plaintiff, or when, where, and by what means the representations were tendered. The demurrer to the third cause of action is **SUSTAINED**.

Fourth Cause of Action for Constructive Fraud

The fourth cause of action for constructive fraud alleges Plaintiffs entered into a fiduciary relationship with each of the Defendants where Defendants accepted funds from Plaintiffs, that Defendants breached their duties of loyalty to Plaintiffs by acting for their own personal gain. (FAC ¶¶ 50-51.)

The elements of the cause of action for constructive fraud are: (1) fiduciary relationship; (2) breach of fiduciary duty; (3) intent to deceive, and (4) reliance and resulting injury (causation). (*Younan v. Equifax Inc.* (1980) 111 Cal.App.3d 498, 516 fn. 14.)

“Constructive fraud consists of: [¶] 1. In any breach of duty which, without an actually fraudulent intent, gains an advantage to the person in fault, or any one claiming under him, by misleading another to his prejudice, or to the prejudice of any one claiming under him; or, [¶] 2. In any such act or omission as the law specially declares to be fraudulent, without respect to actual fraud.” (Civ. Code, § 1573.) “A breach of a fiduciary duty usually constitutes constructive fraud. [Citation.] Constructive fraud, like actual fraud, must be pleaded with specificity. [Citation.]” (*Knox v. Dean* (2012) 205 Cal.App.4th 417, 434; see also *Schauerv. Mandarin Gems of California, Inc.* (2005) 125 Cal.App.4th 989, 960-961 [every element of a fraud cause of action must be alleged with factual specificity, and the policy of liberal construction of pleading will not be invoked.])

The demurrer to the fourth cause of action is **SUSTAINED**. The FAC does not plead sufficient facts to allege a fraud with the required specificity or to allege fiduciary relationships between Plaintiffs and each of the Defendants.

Fifth Cause of Action for Breach of Fiduciary Duty

“ ‘The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. [Citation.]’ [Citation.]” *Knox v. Dean* (2012) 205 Cal.App.4th 417, 432. For a fiduciary duty to exist, a person “must either knowingly undertake to act on behalf

and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.” *City of Hope Nat’l Med. Ctr. v. Genentech, Inc.* (2008) 43 Cal.4th 375, 386. Traditional examples of fiduciary relationships in the commercial context include trustee/beneficiary, directors and shareholders of a corporation, business partners, joint adventurers, and agent/principal.” (*Wolf v. Superior Court* (2003) 107 Cal.App.4th 25, 29 (*Wolf*).) “ ‘[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.’ ” (*Oakland Raiders v. National Football League* (2005) 131 Cal.App.4th 621, 632.)

The fifth cause of action alleges Plaintiffs and Defendants entered into a fiduciary relationship where Defendants accepted funds from Plaintiffs and provided shares to Peri, Inc. (FAC ¶¶ 23, 56.)

The demurrer to the fifth cause of action for breach of fiduciary duty is **SUSTAINED**. The allegation that Defendants are the agents, servants, employees, partners, members, shareholders, officers, directors, joint venturers, and alter egos of each other (see FAC ¶ 11) is conclusory and not supported by any alleged facts. Although the FAC alleges Defendant Hsu is a CFO of Peri, Inc. (FAC ¶ 21), there are no allegations identifying any breaches by Hsu. Additionally, the FAC does not allege damages from the breach of fiduciary duty to Plaintiffs as shareholders.

Sixth Cause of Action for Unjust Enrichment

“[T]here is no cause of action in California for unjust enrichment.” (*Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793.) Unjust enrichment is synonymous with restitution. (*Dinosaur Development, Inc. v. White* (1989) 216 Cal.App.3d 1310.)

“There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory.... [Citations.] In such cases, where appropriate, the law will imply a contract (or rather, a

quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment." (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 388.)

"Under the law of restitution, '[a]n individual is required to make restitution if he or she is unjustly enriched at the expense of another. [Citations.] A person is enriched if the person receives a benefit at another's expense. [Citation.]' [Citation.] However, '[t]he fact that one person benefits another is not, by itself, sufficient to require restitution. The person receiving the benefit is required to make restitution only if the circumstances are such that, as between the two individuals, it is *unjust* for the person to retain it. [Citation.]' " (*McBride*, 123 Cal.App.4th at 389.) As a matter of law, an unjust enrichment claim does not lie where the parties have an enforceable express contract. (*California Medical Assn. v. Aetna U.S. Healthcare of California, Inc.* (2001) 94 Cal.App.4th 151, 172.)

The FAC alleges that as a result of Plaintiffs' investments, Defendants were able to secure contracts and immense profits at the expense of Plaintiffs because Plaintiffs' investments financed technology and business deals that resulted in Defendant Tabatabai's personal gain to the exclusion of other shareholders of Peri, Inc. (FAC ¶¶ 32, 60.) These allegations are sufficient to allege a claim for unjust enrichment against Defendant Tabatabai; the demurrer is therefore **OVERRULED** the demurrer to the sixth cause of action against him. The demurrer to the sixth cause of action is **SUSTAINED** as to Defendants Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc.

Seventh Cause of Action for Declaratory Relief

Code of Civil Procedure section 1060 permits independent claims for declaratory relief and provides, in relevant part: "Any person interested under a written instrument ... or under a contract, or who desires a declaration of his or her rights or duties with respect to another ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time.... The declaration may be had before there has been any

breach of the obligation in respect to which said declaration is sought.” (Code Civ. Proc., § 1060; *Ball v. FleetBoston Financial Corp.* (2008) 164 Cal.App.4th 794, 800.)

The seventh cause of action for declaratory relief alleges that an actual controversy exists between the parties regarding the amount of profits due to Plaintiffs and an accounting of all profits that are/were due to Peri, Inc. and its shareholders. (FAC ¶ 62.) Although Plaintiffs use the phrase “Declaratory Relief” in the title for their cause of action, Plaintiffs clearly seek an accounting. They do not request a declaration of their rights or duties under any purported contracts.

An accounting action “is a proceeding in equity for the purpose of obtaining a judicial settlement of the accounts of the parties in which proceeding the court will adjudicate the amount due, administer full relief and render complete justice.” (*Verdier v. Superior Court in & for City & County. of San Francisco* (1980) 88 Cal.App.2d 527, 531.) “An accounting cause of action is equitable and may be sought where the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.” (*Id.* at 1120.). “An accounting will not be accorded with respect to a sum that a plaintiff seeks to recover and alleges in his complaint to be a sum certain.” (*Id.*) A right to an accounting is derivative and must be based on other claims. (*Id.*, citing *Janis v. Cal. St. Lottery Commission* (1998) 68 Cal.App.4th 824, 833–34.)

The demurrer to the seventh cause of action is **SUSTAINED** to the extent it seeks declaratory relief, and **OVERRULED** to the extent it seeks an accounting.

Should Plaintiffs desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it by December 29, 2023.

Defendants to give notice.

Motion to Strike

Defendants Mohammad Tabatabai, Sanaz Sarbasi, Shayan Doosty, Michael Hsu, and Peri, Inc. move to strike the punitive damages allegations located at page 8, lines 10-12 of the First Amended Complaint, requests for punitive and exemplary damages and attorney’s fees, and Exhibits 1-7. For the following reasons, Defendants’ motion is **DENIED**.